

25NWCV00340 25NWCV00340

County: los-angeles

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LIU v. ASD CAPITAL MANAGEMENT LP,
ET AL.

CASE NO.: 25NWCV00340

HEARING: Thursday, July 9, 2026, at 9:30 AM

I.

Defendants

HONGPENG WANG; ASD CAPITAL MANAGEMENT, LP; ASSURED MANAGEMENT, LLC; PANKU, INC.; 2525 MAIN APARTMENT LP; and WEST MAINGATE REGIONAL CENTER, LLC Demurrer to Plaintiff YAN LIU's Second Amended Complaint is SUSTAINED in part with 20 days leave to amend.

II.

Defendants'

Motion to Strike is MOOT given the above ruling.

Moving Party to give notice.

Background

On January 28, 2025, Plaintiff YAN LIU ("Plaintiff") filed a breach of contract action against Defendants ASD CAPITAL MANAGEMENT LP; HONEPENG WANG, aka ALEX WANG; and DOES 1 through 50, inclusive.

On September 16,

2025, Plaintiff filed a First Amended Complaint ("FAC"). Plaintiff's FAC

asserts includes the following additional Defendants: ASSURED MANAGEMENT, LLC;

PANKU, INC.; 2525 MAIN APARTMENT LP; WEST MAINAGATE REGIONAL CENTER LLC; and

DOES 1 through 50, inclusive.

On April 27, 2026,

Plaintiff filed the operative Second Amended Complaint ("SAC").

Plaintiff's SAC

asserts the following causes of action:

1.

Fraud –

Intentional Misrepresentation

2.

Fraud –

Concealment

3.

Fraud –

False Promise

4.

Securities

Fraud

5.

Breach

of Fiduciary Duty

6.

Conversion

7.

Breach

of Contract

8.

Unfair

Business Competition

On June 1, 2026,

Defendants HONGPENG WANG; ASD CAPITAL MANAGEMENT, MP; ASSURED MANAGEMENT, LLC; PANKU, INC.; 2525 MAIN APARTMENT LP; and WEST MAINGARE REGIONAL CENTER, LLC (“Defendants”) filed the instant Demurrer and Motion to Strike.

Procedural Issues

Except in a summary judgment or summary adjudication motion, no opening or responding memorandum may exceed 15 pages. (California Rule of Court, Rule 3.113(d.) A party may apply to the Court ex parte but with written notice of the applications to the other parties, at least 24 hours before the memorandum is due, for permission to file a longer memorandum. (California Rule of Court, Rule 3.113(e).)

Defendants’ 23-page memorandum exceeds the 15-page limit and Defendant failed to ask for leave 24 hours before the memorandum was due. The Court disregards any argument beyond the 15-page limit.

Release Agreement

On March 12, 2026, the Court held that the parties’ December 2022 “Capital Return and Release Agreement” (“Agreement”) barred all of Plaintiff’s claims except for Breach of Contract. Plaintiff now alleges that Defendants’ fraudulent inducement of the Agreement renders the agreement void or voidable. (SAC ¶ 57.)

Defendants contend the sham pleading doctrine bars Plaintiff’s fraudulent inducement allegations because they materially contradict Plaintiff’s allegations in the FAC.

Under the sham

pleading doctrine, Plaintiffs are precluded from amending the complaint to omit harmful allegations, without explanation, from prior complaints to avoid attacks raised in demurrers or motions for summary judgment. (Deveny v. Entropin, Inc. (2006) 139 Cal.App.4th 408, 425.) In addition, if a party files an amended complaint and attempts to avoid the defects of the prior

pleading by either omitting facts or adding facts inconsistent with those in the prior pleadings, the court may take judicial notice of prior pleadings and may disregard inconsistent allegations. (*Colapinto v. County of Riverside* (1991) 230 Cal.App.3d 147, 151.) The sham pleading doctrine is not intended to prevent honest complainants from correcting erroneous allegations or to prevent correction of ambiguous facts. (*Deveny*, supra, 139 Cal.App.4th at 426.) Thus, the party who made the inconsistent pleading must be allowed to explain the changes. (*Ibid.*)

The Court does not find Plaintiff SAC contains allegations that materially contradict Plaintiff's previous pleadings. Indeed, Plaintiff's initial Complaint alleges that, "Subsequently, and based upon and in reliance of, the various representations of ASD and its General Partner, Liu and ASD entered into the Return of Capital and Release Agreement dated December 23, 2022 (the 'ROC Agreement')." (Complaint ¶ 12.) In other words, Plaintiff initially plead she entered into the Agreement because of Defendants' representations which is consistent with a fraudulent inducement theory.

Defendants further argue Plaintiff contradicts her FAC where she alleged she "had been left in the dark and possibly misled" and "had grown distrustful of Wang." However, these allegations are also present in Plaintiff's SAC, "Plaintiff had grown distrustful of Wang's project due to the past omissions and the handling of the project" (SAC ¶ 47.) and "These questions encapsulated her fears that she had been left in the dark and possibly mislead." (SAC ¶ 40.)

Plaintiff's allegation that she was "still unaware of the fraudulent intent of Defendants and Wang" does not contradict her other allegations. Instead, the Court reads Plaintiff's allegations as demonstrating Plaintiff was suspicious of Defendants but did not suspect Defendants intended to fraudulently induce her into the Agreement.

Specificity

"[F]raud must be pled specifically." (*Lazar v. Superior Court*, (1996) 12 Cal.4th 631, 645.) " 'This particularity

requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.' " (Ibid.) "A plaintiff's burden in asserting a fraud claim against a corporate employer is even greater. In such a case, the plaintiff must 'allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.' " (Ibid.)

The Court agrees with Defendants that Plaintiff's allegations are insufficient. Indeed, Plaintiff fails to identify which Defendants made particular statements and what, if any, representations each particular Defendant made. Plaintiff argues in opposition that further details are in Defendants' knowledge.

"[T]he requirement of specificity is relaxed when the allegations indicate that 'the defendant must necessarily possess full information concerning the facts of the controversy.' " (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 158; accord Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 217 ["less particularity is required when the facts lie more in the knowledge of the opposite party"].)

Tarmann's relaxed requirement is inapplicable here. Indeed, Plaintiff alleges that when Defendants presented the December 2022 Agreement, Defendants made false representations, both orally and through written communications. (SAC ¶ 50.) The Court believes Plaintiff has access to and can plead specific facts demonstrating who made which false representations. Particularly where Plaintiff alleges Defendants made false representations when they presented her the Agreement.

Thus, Defendants' Demurrer is SUSTAINED against Plaintiff's First, Second, Third, Fourth, Fifth, Sixth, and Eighth Causes of Action.

The Court grants Plaintiff twenty (20) days leave to amend. The Court finds Plaintiff can amend the SAC to fix defects mentioned above.

Breach of Contract

Plaintiff fails to allege facts showing Defendants Hongpeng Wang; Panku, Inc.; 2525 Main Apartment LP; and West Maingate Regional Center, LLC were parties to the settlement agreement. Instead, Plaintiff contends these Defendants are liable under the alter ego doctrine.

To invoke the alter ego doctrine, the plaintiff must plead unity of interest and ownership and that an inequity will result if the corporate entity is treated as the sole actor. (See *Vasey v. California Dance Co.* (1977) 70 Cal.App.3d 742, 749.) Factors to consider in applying the doctrine include the commingling of funds and other assets, the holding out by one entity that it is liable for the debts of the other, identical equitable ownership in the two entities, inadequate capitalization, and disregard of corporate formalities. (*Sonora Diamond Corp. v Superior Court* (2000) 83 Cal.App.4th 523, 538-39.)

Plaintiff alleges, “that a unity of interest and ownership existed among Defendant Wang and the entity Defendants such that any separate personalities no longer exist.” (SAC ¶ 12.) “Plaintiff is informed and believes the entities, including Wang, ASD and Panku, do not maintain a separate bank account for investor funds or for daily operations. Plaintiff was instructed to wire her \$2,000,000 investment directly to Wang's personal bank account, rather than to ASD or any designated project or escrow account. Plaintiff's funds were not segregated and were instead controlled directly by Wang.” (SAC ¶ 14.) Wang, ASD, Panku, and the other entity Defendants share the same business address at 19112 Gridley Road, Suite 105, Cerritos, California, and operate from the same office location. These entities do not maintain separate offices or independent operational structures. (SAC ¶ 15.) Wang exercised complete control over ASD, Panku, and other entities Defendants. He was the sole decision-maker for all material aspects of the project, signed all agreements, and conducted all managerial operation. Plaintiff is informed and believes that there is not other independent management for these entities. (SAC ¶ 16.)

The Court finds these allegations to be sufficient to invoke an alter ego theory. The Court believes Defendants demand for more specific facts is more appropriate for discovery.

Defendants Demurrer against Plaintiff's Breach of

Contract action is OVERRULED.

Motion to Strike

Having sustained Defendants' Demurrer, Defendants' Motion to Strike is rendered MOOT.

Conclusion

Defendants' Demurrer is SUSTAINED in part with 20 days leave to amend.

Plaintiff's Request for Judicial Notice is GRANTED.
(Evid. Code § 452(d).)